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Strategies

Volume Profile Strategy



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This playbook focuses on trading when price reaches the edge of a high-volume node at key auction levels like PDH, PDL, ONH, or ONL. Once price reacts at the volume profile edge, the trade aims to move from one side of value to the next using the clean path through low-volume areas.



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Built For

Instruments: Options/Futures

Trading Style: Day Trading/Swing Trading

Strategy Overview

The Volume Profile Strategy is a structured, repeatable approach built on the principle that price reacts differently depending on how much volume has been transacted at each price level. Instead of focusing on volume over time (like traditional volume bars), this strategy analyzes **volume at price** to reveal where market participants are positioned.

The two key behaviors:

- **High-Value Areas (HVAs)** – Price tends to consolidate where a large number of transactions have occurred. These zones are “sticky.”
- **Low-Value Areas (LVAs)** – Price tends to move quickly through zones with little trading activity.

By identifying **volume edges** (the sharp drop-off from high to low volume), traders can anticipate where the

price will likely react, stall, or break away.

The method combines:

- Volume Profile (session-based & visible range)
- Auction Market Theory
- Signal candle confirmation
- Four key daily liquidity levels
- Higher timeframe directional bias
- Edge-to-edge targeting

The goal is to take high-probability trades at meaningful volume edges, confirmed by price action, while avoiding mid-zone, low-participation areas.

Strategy Rules

Volume Profile Interpretation

The Volume Profile shows how many people transacted at each price, not at each time.

- Price levels with high transaction volume are called **high-value areas** (HVA).
- Price levels with low transaction volume are **low-value areas** (LVA).
- A **volume shelf** is a sharp drop-off at the edge of a high-value node, which becomes a key reaction zone.

Use the Right Timeframes

Higher timeframes (Weekly, Daily) are used to identify long-term value areas and edges.

Execution timeframes: 4H and 1H are the main chart timeframes used for identifying signal candles and taking trades.

Avoid overlapping too many profiles; keep bias and execution timeframes clearly separated.

Focus on Four Key Daily Levels

These are important contextual liquidity zones:

- Overnight High
- Overnight Low
- Prior Day High
- Prior Day Low

These are liquidity zones where trapped traders are likely to act aggressively when the price returns.

Volume Edge + Signal Candle = Trade Setup

To take a trade, three elements must be present:

- Price is touching a **volume profile edge** (transition from HVA to LVA or vice versa).
- The location aligns with a **key contextual level** (ONH/ONL/PDH/PDL).
- A **high volume signal candle** forms with a visible wick rejecting the area and closing in the trade direction.

Always wait for the signal candle to close. Do not front-run it; even the last few minutes of a candle can change everything. A bullish candle can turn bearish right before close.

Directional Bias Comes from Higher Timeframes

- If the Weekly chart closes with a high volume bottom-wick reversal candle at a volume edge, then the **bias is long**.

- All intraday setups should then favor **long trades**, even if entries are taken on 4H, 1H, or lower timeframes.
- You don't trade the weekly candle, but you use it to know which direction to prioritize.

Execution: Entry, Stop, Target

- **Entry:** After the signal candle closes at the volume edge.
- **Stop:** Just beyond the signal candle's wick or beyond the edge of the high value node.
- **Target:** The next shelf — edge-to-edge targeting. You trade through low-volume zones and look for the next high-volume area.

Volatility-Based Retest Entry

- If the signal candle has a long wick → expect a **50–80% wick retrace** before continuation.
- Set a limit order in that retrace zone (estimated visually, not with Fib tools).
- Works well for NQ and other volatile markets.

Avoid Mid-Zone Trades

- Low-volume zones are unpredictable; avoid entries in the middle.
- Wait for the price to hit an edge before trading.

Previous Day POC Retest

A core setup is the **Previous Point of Control (POC) Retest**. After a breakout or trend day, the price often returns to the prior day's POC before resuming the trend.

This is a reliable entry point. Look for a signal candle at

the prior day's POC and target a new high/low.

Pros and Cons of the Strategy

This strategy is designed to deliver high-quality, repeatable setups — but like any trading strategy, there are key things to understand before using it.

Note: The cons listed here aren't disadvantages. They are things to be aware of — important characteristics that require patience, discipline, and proper management to make the strategy work effectively.

Pros

True Auction Insight: Reveals where market participants are actually positioned, not just where price has moved.

Objective Key Levels: HVNs and LVNs provide clear, non-subjective trade zones.

Fractal Application: Can be applied from weekly down to intraday charts.

Built-in Trade Filtering: Automatically highlights no-trade zones (mid-LVNs with no structure).

Works Across Asset Classes: Effective in any market with centralized, reliable volume data.

Supports Bias Formation: Higher timeframe profiles give clear market context before looking for entries.

Cons

Fewer Trades: Quality setups at true edges are infrequent, requiring patience.

Slow to Develop: Volume Profiles need time to build;

intraday edges may not be clear early in the session.

Overlap Confusion: Multiple timeframes can produce conflicting HVNs if not filtered down to 2–3 main profiles.

Requires Volume Data: Not viable in decentralized markets like spot forex.

Not “Always On”: Some days produce no valid signals; traders must be comfortable sitting out.

Chop Prediction Risk: While it can predict chop, trading inside chop zones is lower probability and riskier.

Trade Breakdown

Context

- Instrument: NQ futures
- TF: 1H
- Tools: Session Volume Profile, Visible Range VP
- Key levels: Prior Day High (PDH), Overnight Low (ONL)

Before the move

- Mark PDH and ONL.
- Session VP is building a high-volume shelf near the highs.
- Visible Range VP shows a lower shelf / support area near ONL.

Signal

Price trades up into PDH and the edge of the upper VP shelf. A 1H candle forms that:

- Trades above PDH intrabar (sweep),
- Closes back **below PDH**,
- Has a **long upper wick** and **high volume**.

This is the **signal candle**: trapped longs at a VP edge.



Execution

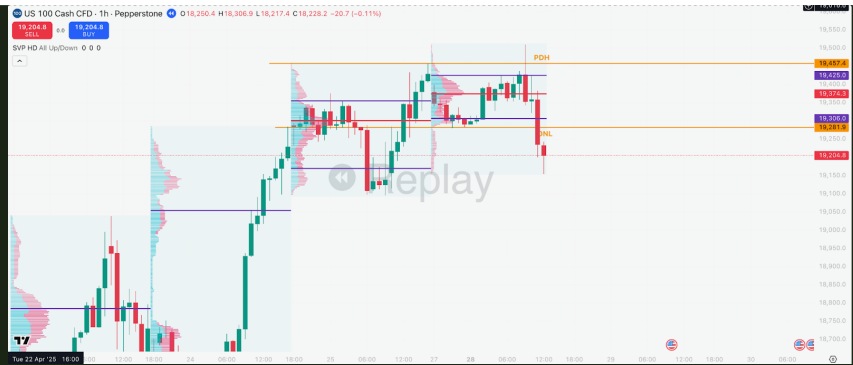
Short Entry: On the close of the 1H signal candle (or tiny retrace into its body)

Stop Loss: Just above the wick high of the signal candle (above the sweep).

Target: First target: ONL. This aligns with the lower shelf on VP / visible range.

Outcome

- Price sells off from PDH,
- Moves back through the session range,
- Tags **ONL / lower shelf**, where buyers step in.
- Short exits at planned target.



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